

China: PBoC is to add overnight OMO

Today the PBoC announced it will add overnight reverse repos to its open market operations (OMO) on 29-30 June through “quantity bids at a fixed rate”, a marked expansion of its toolkit to better guide short-term interbank rates and enhance the transmission of monetary policy. The announcement comes as no major surprise, especially in view of Governor Pan’s remarks at the Lujiazui Forum on 17 June. Based on the spread between DR007 and DR001, we believe the overnight OMO rate might settle around 1.30-1.35%, which compares with the current 7d OMO rate of 1.40%. We view the introduction of overnight OMO as part of the PBoC’s *ongoing efforts* to modernize its monetary policy framework and bring itself closer in line with other major central banks, rather than signaling a shift in its policy stance. We maintain our *forecast* of no RRR and rate cuts for this year. That said, if global oil prices continue to retreat and ease pressures on other major central banks to raise rates, the PBoC may become more likely to deliver a moderate rate cut toward the end of the year.

Reforms unveiled at the Lujiazui Forum to better regulate short-term rates

On 17 June, at the Lujiazui Forum, PBoC Governor Pan announced several refinements to China’s interest rate corridor system, especially the temporary overnight operation facilities.

- Interest rates for temporary overnight repo and temporary overnight reverse repo will be adjusted to 25bp above and 25bp below the 7d OMO rate (Figure 1), respectively, from 50bp above and 20bp below.
- Operations of temporary overnight facilities will be triggered when DR001 consistently deviates from corresponding operational rates.
- The operation time window for temporary overnight facilities will be adjusted to 15:00-15:30 from 16:00-16:20 on working days.

We see a few implications from the PBoC’s adjustments. First, a narrower and symmetric corridor provides clearer policy signals and enhances the transmission of monetary policy. Second, a downward shift of the corridor does not necessarily entail a signal of outright easing, but the shift indicates that the PBoC’s tolerance for ample liquidity has marginally increased, especially as DR001 in April-May was very close to the previous lower bound of 1.2%, which prompted the PBoC to withdraw some medium-term liquidity. Third, the time window adjustment gives institutions more time to match positions and suppress sharp intraday funding fluctuations. Previously, the 16:00 slot was too close to the interbank market close, leaving institutions with very little time for lending and adjustments.

In the meantime, Governor Pan said the PBoC will add overnight reverse repo tools at a proper time to better match the short-term liquidity needs of the banking system (source: PBoC), which has set the stage for today’s announcement of overnight reverse repo operations.

The PBoC makes a further step to formalise what the market already prices

We think today’s introduction of overnight reverse repo operations is a natural formalisation of existing market dynamics. Overnight repos, priced off the DR001/R001 benchmark, consistently account for the predominant share of interbank repo market transactions by volume, making the overnight rate the de facto anchor for short-term funding costs across the Chinese financial system. Yet until now, the PBoC’s primary operational instrument has been the 7-day reverse repo rate, leaving a structural tenor mismatch between the policy tool and the market’s dominant funding tenor. Governor Pan Gongsheng signalled that the PBoC intended to address this at the Lujiazui Forum on 17 June, saying that the PBoC would “enrich the OMO toolkit and introduce overnight reverse

Research Analysts

Asia Economics

Ting Lu - NIHK

ting.lu@nomura.com

+852 2252 1306

Jing Wang - NIHK

jing.wang@nomura.com

+852 2252 1011

Harrington Zhang - NIHK

harrington.zhang@nomura.com

+852 2252 2057

Hannah Liu - NIHK

hannah.liu@nomura.com

+852 2252 1082

repo instruments at an appropriate time". Today's announcement delivers on that commitment with notable speed.

That said, the PBoC has yet to formalise the operations on a standing basis. The initial deployment is confined to just two days at the end of the second quarter, a period typically characterised by acute interbank funding squeezes and elevated rate volatility, as banks scramble to meet regulatory assessments. How quickly this evolves into a routine instrument or remains a targeted quarter-end stabiliser will be a key signal for the trajectory of the PBoC's monetary policy framework reform, in our view.

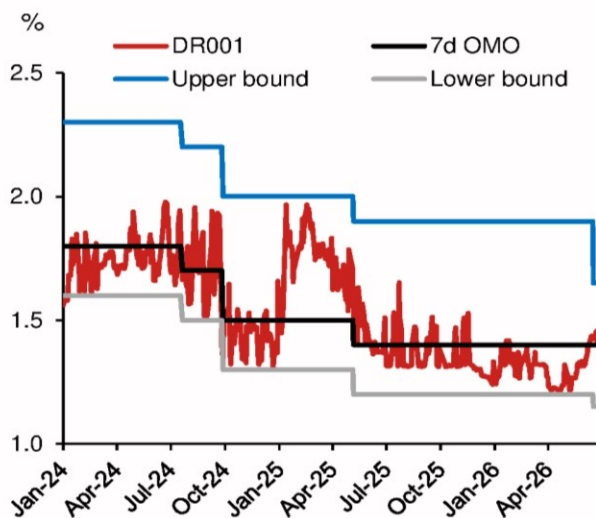
Converging with global central bank practice

This operational shift also brings China's monetary policy architecture into closer convergence with those of the world's leading central banks. The Fed targets the overnight federal funds rate, the ECB anchors policy to the overnight €STR, and the Bank of Japan operates through the uncollateralised overnight call rate. In each case, the overnight rate serves as the primary transmission mechanism through which policy intentions are communicated to the broader financial system. By establishing a 50pp corridor around the overnight rate and committing to trigger operations when DR001 deviates persistently from the policy rate, the PBoC is adopting a comparable price-based framework.

Overnight OMO rate might be set at around 1.30-1.35%

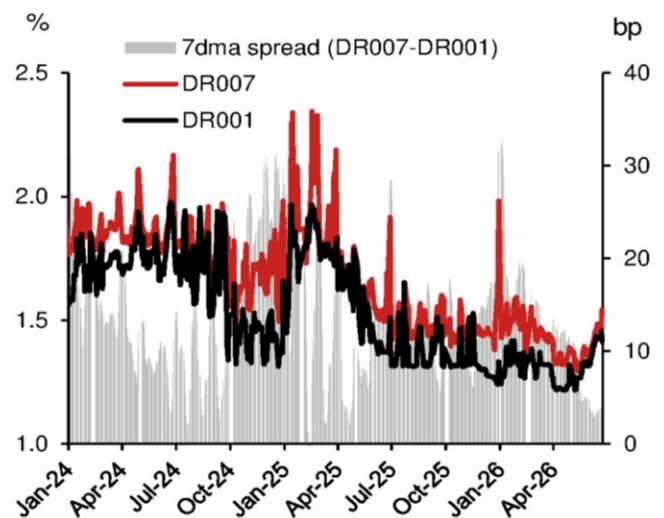
A key aspect to watch for on the introduction of the overnight reverse repo operation is the level of the interest rate (overnight OMO rate). Some market participants expect the overnight OMO rate to match the 7d OMO rate, citing the PBoC's guidance in its monetary policy report that DR001 should be anchored to the 7d OMO rate. However, we expect the PBoC to set this rate based on the term spread observed in the current interbank interest rate yield curve. As the average spread between DR007 and DR001 has been ~12bp over the past 12 months and ~8bp over the past three months (Figure 2), we expect the overnight OMO rate to be set at 1.30-1.35%, which compares with the current 7d OMO rate of 1.40%. It is important to note that a lower OMO rate under a shorter maturity does not necessarily imply a policy rate cut by the PBoC, and we maintain our forecast of no RRR and rate cuts for this year.

Fig. 1: New interest rate corridor



Source: PBoC, Wind, Nomura Global Economics.

Fig. 2: Interbank rates and term spread



Source: Wind, Nomura Global Economics.

Appendix A-1

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